

The stock cooperated and moved higher, forming a slightly upward curving trend. I show that on the chart (log scale) as a series of three lines rising toward E.

When the stock closed below the trendline near E, he placed an order to sell the stock at the open the next day. He received a fill at 87.14 for a gain of 33.48 a share, or 62% (not including commissions).

“I got lucky on this trade,” he told me.

“Why?”

“Two reasons. First, because the stock might not have turned upward at D. And second, I forgot to raise my stop.”

That's not always a bad thing, especially for long-term holds. If you're swing trading or short-term trading, then consider using a trailing stop, one that price stalks as it moves upward.

Another lucky factor was how the stock behaved with price rising in a near straight-line run up to E. Although the stock retraced after E to 74.60, it went on to a new high at just over 100 in September 2012. The stock need not have dropped far at E before moving higher, too. Still, for a relatively short-term trade, the exit was timely and the entry was delicious, too. Isn't there a red delicious brand of apple? Get it? He traded apple stock...